INVESTING IN GOLD

GOLDEN OPPORTUNITY

There are many ways to invest in gold, but each of the available options comes with its share of benefits and pitfalls



Illustration by SIDDHANT JUMDE

There is something about gold that makes Indians chase the yellow metal. Although gold purchase is often tied to auspicious sentiments, it is often bought for its safe-haven tag. Over the years, the debate over the financial benefit of buying gold has resulted in several ways through which one can invest in it other than buying it in physical form. There is financial prudence when investing in gold, unlike buying physical gold, which is fraught with risk of theft. As an investment, gold can act as a hedge against inflation and finds its way into the investment basket of many Indians as an asset class to invest.

Today, gold ETFs, gold mutual funds and the sovereign gold bonds are all financial instruments that provide investors with the choice of investing in gold. Given the need for gold in Indian families, especially at the time of weddings and other important festivals, gold has found itself as an asset class in which people invest for consumption more than gold as a hedge against inflation. For instance, instead of accumulating physical gold in the form of bars, coins or jewellery, financially savvy investors see the virtues of investing in paper gold (see *Various Hues of Gold*).

The safety of investments and regulated investment market for gold has made many investors see merit in investing in gold instead of physical ownership. As investments in gold can be done for smaller denominations, it makes purchasing gold affordable for many. Moreover, if one uses the principles of long-term investments with mutual fund to invest in gold ETFs, one can accumulate significant investments in gold, which could be converted to gold ornaments or jewellery when needed.

FINANCIAL ASSET

Historically, it has been seen that gold protects purchasing power against inflation during challenging economic times. It tends to retain its value over the long term despite fluctuations. Although there may be a correlation between gold and inflation in the short term, the long term correlation between gold and inflation does not suggest much. The reason for this favourable relation is that during high inflation, fears of value loss brings more investments into safe havens like gold. Likewise, the high liquidity of gold makes it a go-to financial asset in tough economic times when some other asset classes may be less liquid.

As an investment instrument, gold doesn't require expertise for people to commit to. The way gold is perceived and valued makes